

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$229.29 ▼ 3.27%	12M Price Target \$285.00	52-Week Range \$61.44 – \$329.88	Market Cap \$206.06B
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MRVL: Alphabet Custom Chip Win Overshadowed by Sector Selloff

WHAT HAPPENED

- MRVL dropped 3.27% to \$229 as part of a broad semiconductor selloff — the whole chip sector got hit yesterday, which explains most of the move (not company-specific bad news). This comes after a monster run from \$216 to \$251 last week, so some profit-taking was overdue.
- The big under-the-radar story: Alphabet (Google) is reportedly sourcing custom AI chips from Marvell — this is a direct shot at Broadcom, which has owned Google's custom chip business for years. That's a huge validation of Marvell's custom silicon (ASIC) business.

WHY IT MATTERS

The Alphabet news is way more important than the 3% dip suggests — Broadcom's custom chip business with Google was worth billions and considered untouchable, so Marvell breaking in means the custom AI silicon market is opening up to a real second player. This probably means Marvell's data center revenue accelerates into 2027, and Wall Street's estimates start moving up. The options flow tells you smart money agrees — a 0.54 put/call ratio (meaning roughly 2 bullish bets for every 1 bearish bet) plus unusual call buying at \$225 shows traders are positioning for a bounce. Watch for: if MRVL earnings (coming up this week per the Barron's headline) confirm hyperscaler traction, this stock reclaims \$260+ quickly.

POLICY & POLITICAL WATCH

The big policy tailwind is the CHIPS Act implementation — Marvell doesn't manufacture chips itself (they're "fabless," meaning they design chips and pay TSMC to build them), but they benefit indirectly because CHIPS Act money is subsidizing U.S. data center buildouts that need Marvell's networking and custom silicon. The headwind to watch: expanded China export controls under the current administration, which could restrict Marvell's ability to sell into Chinese hyperscalers (roughly 15% of revenue). Also on the radar — any Congressional action on AI infrastructure spending or federal data center modernization would be a direct positive for Marvell's networking chip business.

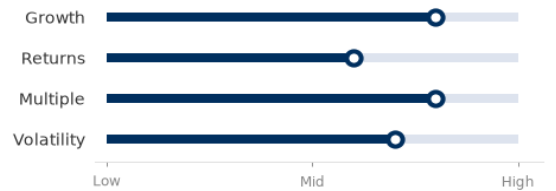
IS IT EXPENSIVE?

At \$229, Marvell trades at roughly 80x forward earnings — meaning investors are paying \$80 for every \$1 the company is expected to earn next year — which sounds expensive until you realize NVIDIA trades at similar multiples and Broadcom is right there too. The justification is that AI-related revenue is growing 60-70% annually, so if they hit numbers, the multiple compresses fast. Bottom line: not cheap, but reasonably priced for a top-tier AI infrastructure play, especially with the Alphabet win adding a new leg to the growth story.

Key Data

Price (USD)	\$229.29
12M Price Target	\$285.00
Upside / (Downside)	+24.3%
Market Cap	\$206.06B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$10,500M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	80.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$260.00	\$240.00	\$205.00
6 Months	\$300.00	\$265.00	\$190.00
1 Year	\$340.00	\$285.00	\$180.00
2 Years	\$425.00	\$340.00	\$200.00
5 Years	\$600.00	\$450.00	\$220.00
10 Years	\$900.00	\$650.00	\$280.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples and Financials are catching a bid — that's classic defensive rotation, meaning some investors are getting nervous about tech and moving to safer stuff. Financials also benefit from the steeper yield curve environment.

COOLING OFF: Semiconductors clearly took a breather yesterday, but this looks like profit-taking after huge runs, not a fundamental shift. No sector-killing policy news driving it.

ROTATION WATCH: Money is briefly rotating OUT of high-beta AI names into defensives ahead of key earnings (NVIDIA-adjacent names like MRVL report this week). This is tactical, not strategic — the AI capex story is still very much alive.

RELATED PLAY: If Marvell's custom silicon story keeps working, the second-order winners are the optical networking suppliers (Coherent, Lumentum) and data center REITs (Digital Realty, Equinix) that house all these AI chips.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Been the custom AI chip king — but the Alphabet news creates a real competitive threat for the first time.
- NVDA (Nvidia): Still the AI infrastructure benchmark; its upcoming earnings will set the tone for the whole sector including MRVL.

MRVL CONTEXT: Marvell is now positioned as the credible #2 custom silicon player, which is a much better spot than being the #5 generic chip company. The Alphabet win means MRVL should start trading more in-line with AVGO's premium multiple rather than at a discount — that's the re-rating opportunity.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The Alphabet win is a genuine game-changer for the custom silicon narrative, and BofA just added MRVL to enhanced buy list.

POSITION SIZE: 3-5% of portfolio — real upside but chip stocks swing hard, so don't oversize.

ENTRY POINTS: \$215-225 on sector selloff days; if you're already in, hold through earnings. Anything under \$210 is a fat pitch.

TIME HORIZON: 12-24 months, with the near-term catalyst being this week's earnings and any color on the Alphabet relationship.

WHEN TO BAIL: If earnings miss badly AND guidance is cut, or if you hear news that Amazon/Alphabet is pulling custom chip work in-house. Also bail if China export controls expand to custom ASICs.

HEDGING: Simple approach — keep some cash on the side to average down if it dips to \$210, or buy a small put option (basically insurance that pays off if the stock drops) at the \$210 strike through earnings to cap your downside.